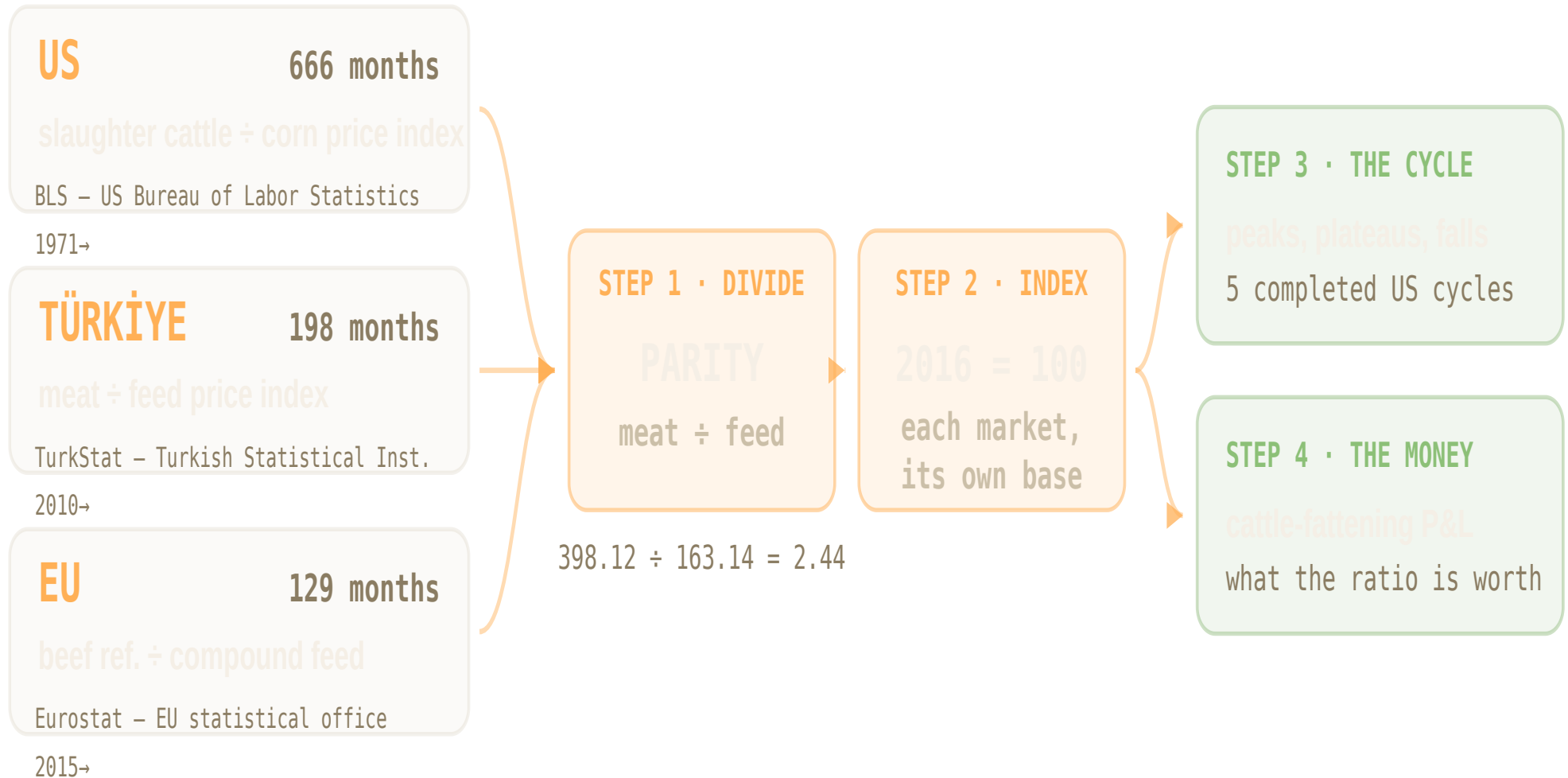


55 years of US data. 16 of Türkiye. 11 of the EU.

Six published price series — every monthly observation each country has — consolidated into one comparable measure of what a livestock producer earns, then read for its cycle.



Cattle producers in all three of our markets are at a cycle peak.

+84%_{US} **+25%**_{EU} **+21%**_{TR}

more feed a kilo of beef buys today than it did in 2016 — each market against its own past

13

months the US has already spent within 10% of its peak

0

of the five previous US peaks that lasted — every one fell back

WHAT YOU ARE LOOKING AT

One ratio: what a kilo of beef is worth in feed.

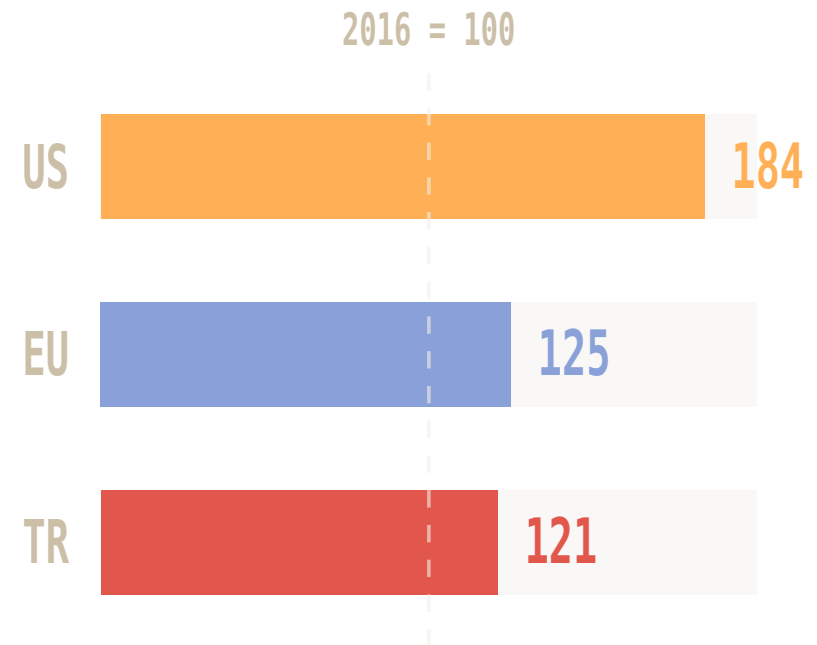
Higher = meat outpacing feed, the producer earns more. It is a relative measure — read it against its own past, never as a quantity of feed.

FEED-BUYING POWER OF A KILO OF US BEEF

Dec 1974 1 kg → ● ×1
the weakest month on record

Jun 2026 1 kg → ●●●●●● ×6.2
6.2 times stronger

ALL THREE MARKETS · EACH VS ITS OWN 2016



US 184 = 84% more feed per kilo of beef than in 2016.

each oval = the Dec 1974 low · ratio of US cattle and corn producer price index

US slaughter cattle ÷ corn

BLS (US federal statistics office) · 1971→ · 666 mo

EU beef ref. price ÷ compound feed

Eurostat · 2015→ · 129 mo

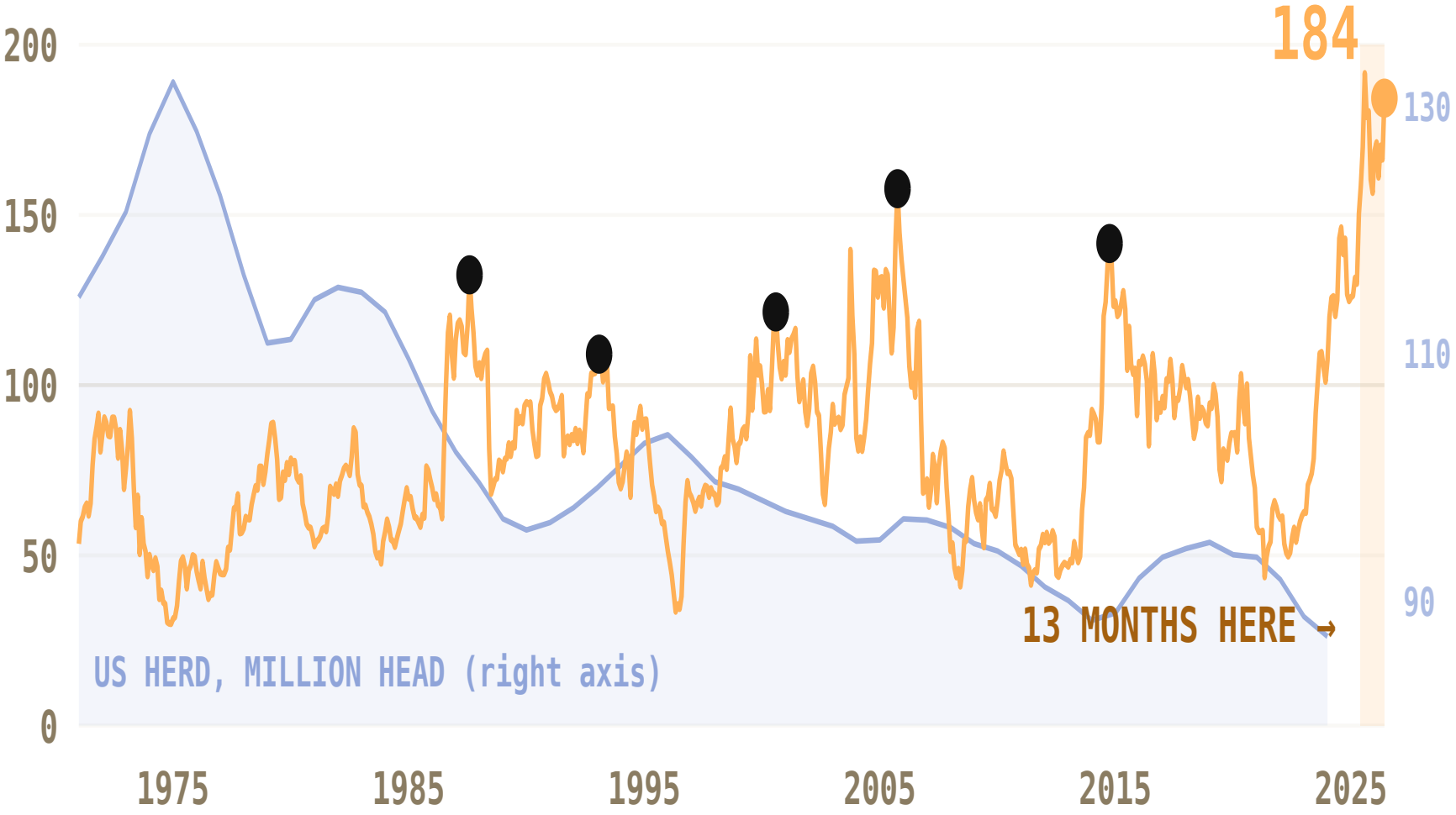
TR meat ÷ feed PPI

TurkStat · 2010→ · 198 mo

Not the same basket in each country — which is why each series is indexed to its own base, and why we read shape rather than level.

Record margins. Fewest cattle since the series began.

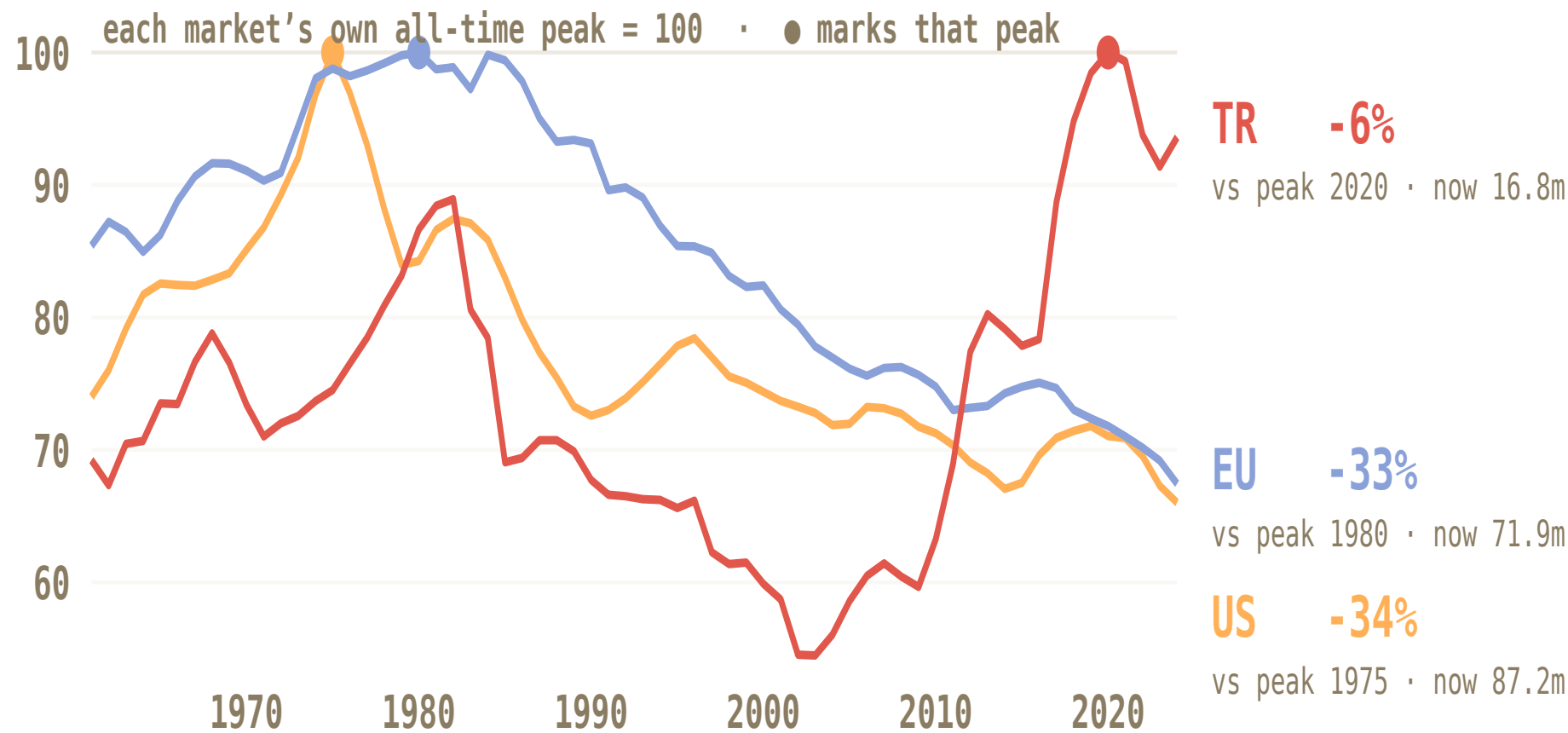
US only. Amber = producer margin ratio (left). Blue = the size of the US cattle herd (right). Scarcity is what makes the margin.



PARITY: MONTHLY, 2016 = 100 • HERD: FAOSTAT, ANNUAL • DOTS = PREVIOUS CYCLE PEAKS • 84% OF THE RATIO'S MOVEMENT COMES FROM FEED

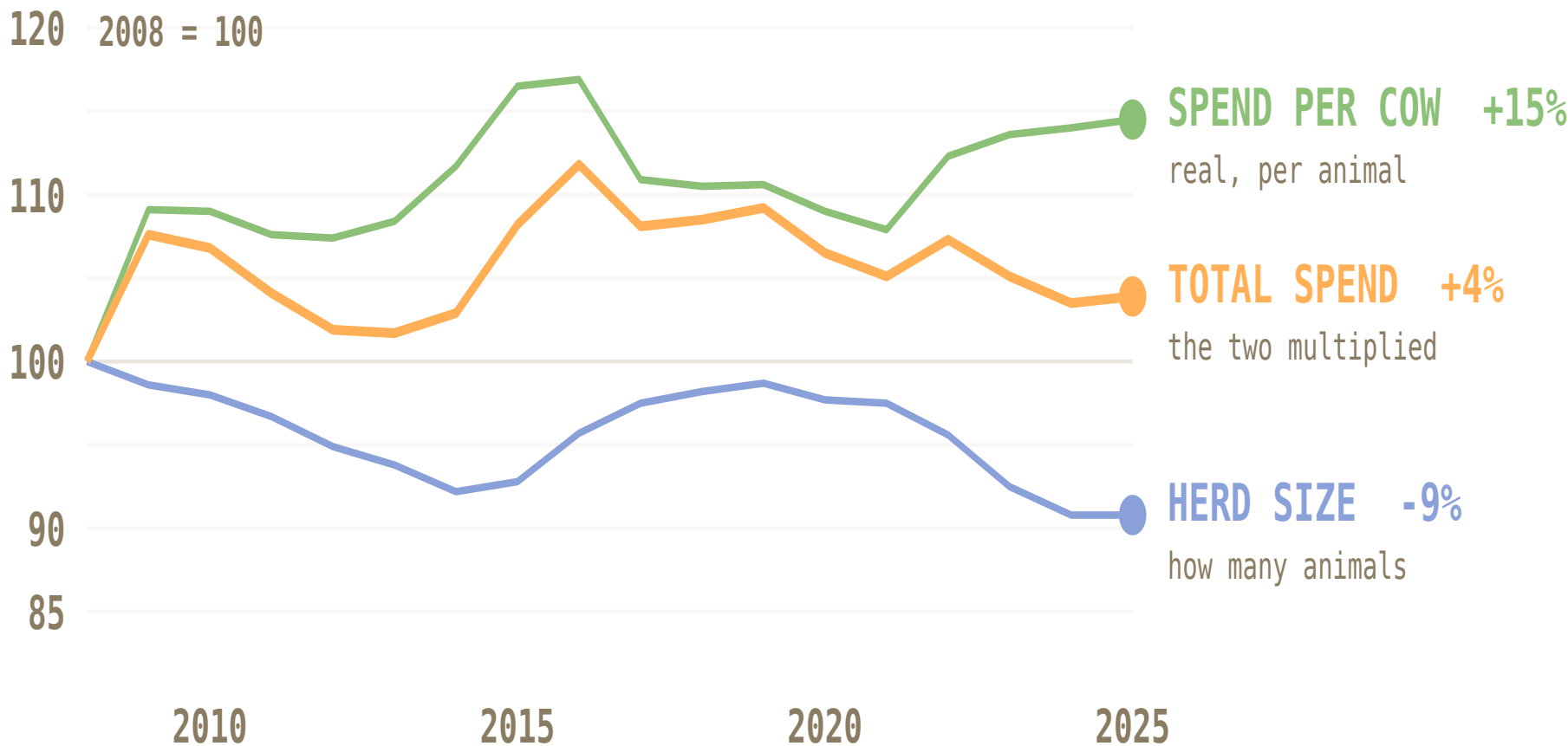
Two herds down a third. One still growing.

Cattle numbers, each market against its own all-time peak. Margin is measured per animal — this is how many animals there are.



More per animal. Fewer animals. Total flat.

US cow-calf vet & medicine spending, inflation-adjusted. Per animal it rises with the margin ($r = +0.70$) — the shrinking herd cancels it out.



Five US peaks. Every one fell 25–60% — over two to five years.

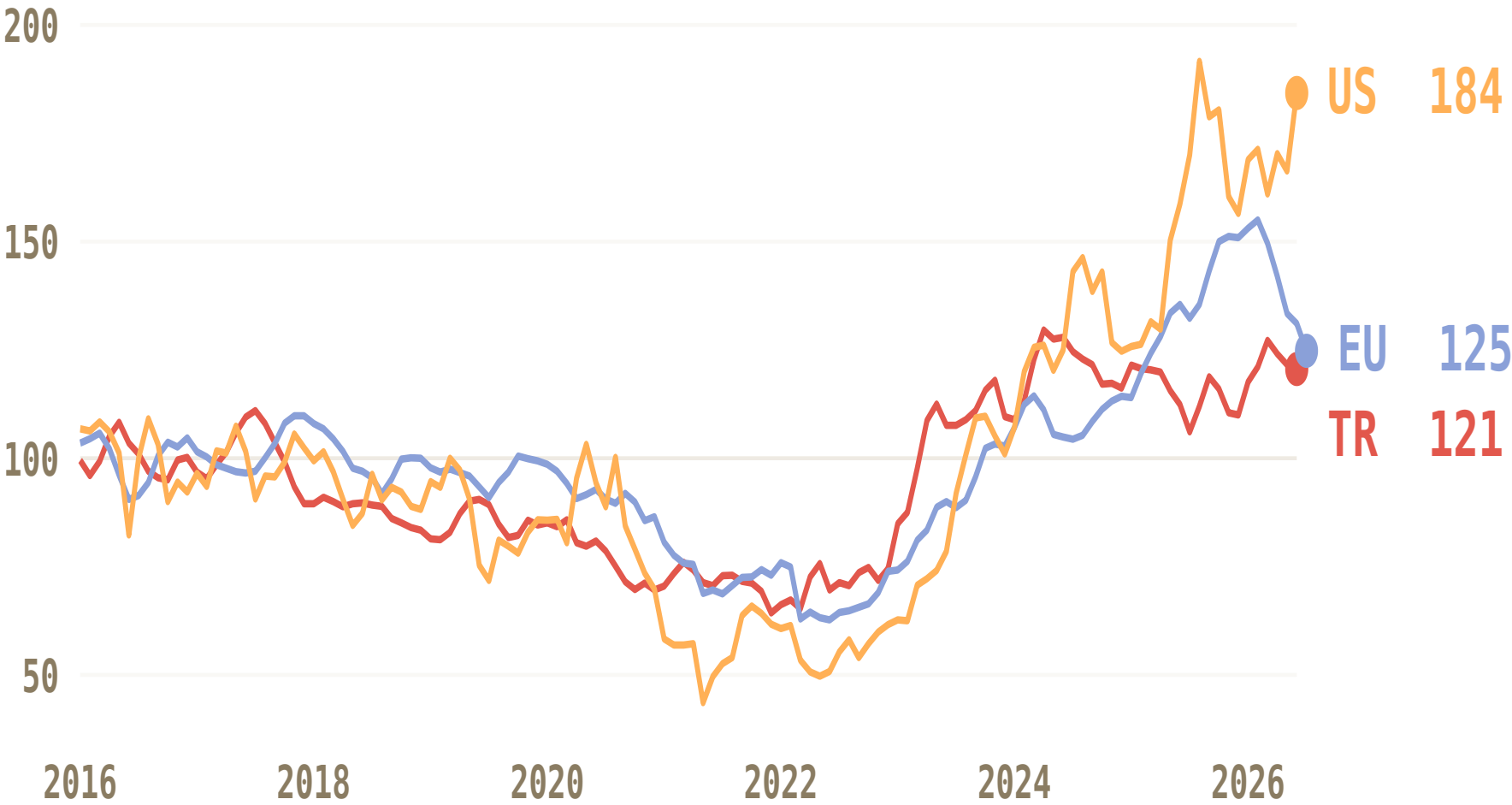
US cycles, 1971–2026 — the only record long enough to count them. Peaks and falls measured on the twelve-month average, so single-month spikes do not count as cycles.



TWELVE-MONTH AVERAGE • PLATEAU = MONTHS WITHIN 10% OF PEAK • FALL = PEAK TO THE NEXT LOW • A CYCLE PEAK IS A LOCAL MAXIMUM OVER ±18 MONTHS

Three markets. One cycle. At the same time.

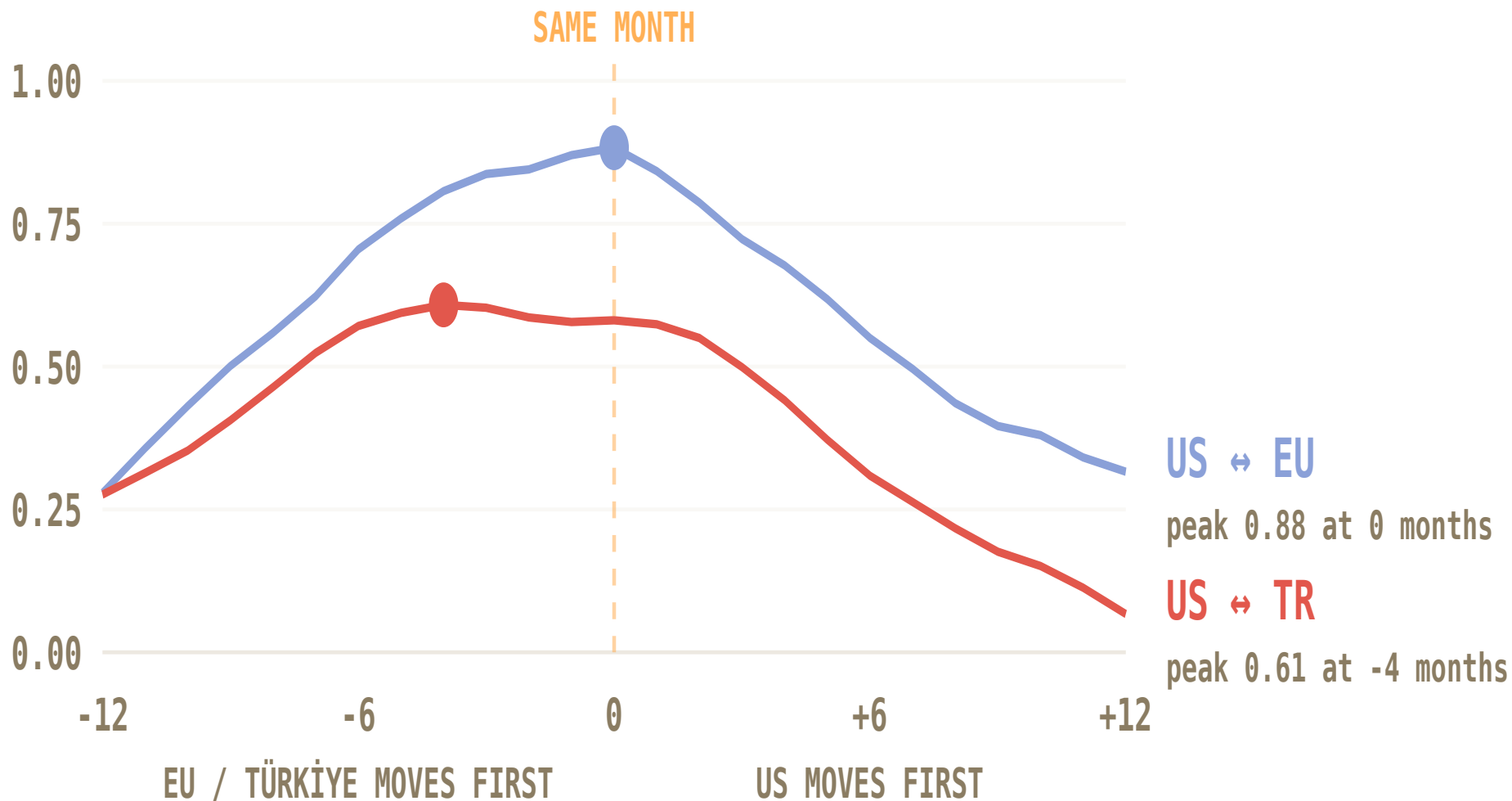
Now all three — each on its own 2016 = 100 base. Watch the shape, not the gap: the level is not comparable, the timing is.



EACH MARKET INDEXED TO ITS OWN 2016 AVERAGE = 100 • US-EU CORRELATION 0.88 AT ZERO LAG

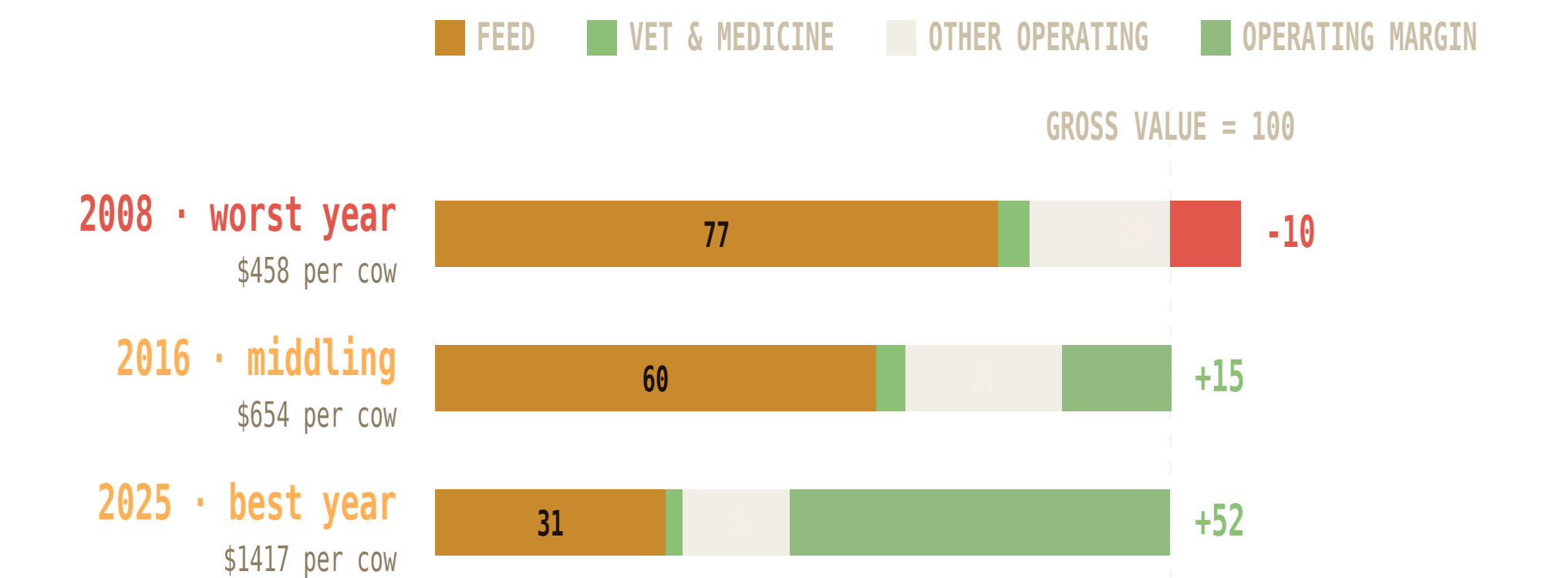
Yes — and nobody goes first, so there is no early warning.

Correlation of year-on-year change, tested at every shift from -12 to +12 months. A market that led would peak clearly off-centre. The EU peaks exactly at zero; Türkiye is flat across -4 to 0.



Feed was 77% of revenue. Now it is 31%.

USDA's own cow-calf accounts, per \$100 of gross value. Nothing modelled — these are surveyed costs. The feed line does the swinging; vet spend barely moves.



Operating margin only — this is not profit. It excludes allocated overhead, unpaid family labour and capital recovery, which USDA costs at roughly three quarters of gross value; on a full economic-cost basis cow-calf shows a negative residual in most years. This is a cow-calf (breeding) operation, not a feedlot, so there is no calf-purchase line. Equivalent per-head cost accounts are not published for the EU or Türkiye.

The link we have not proven yet.

This shows the cycle in our customers' economics. It does not yet show what they do about it — that is the gap, and it is the work.

1 What we know

Producer margins are at a cycle peak in all three markets. Five for five, every previous US peak reversed — by 25 to 60%, over two to five years.

2 What we do not know

Whether animal-health spend moves with this ratio at all, and if so what gets cut first.

Nothing in this deck evidences that link. It is the assumption the commercial case rests on, and it is testable.

3 The ask

Two to three weeks with the livestock commercial teams: map our sales through the last two downturns against this ratio, and rank the portfolio by what a producer defers first.

What I need from you is an introduction to the livestock lead. The macro side is already done.